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5. In Triple column cash book, the balance of bank overdraft brought forward will appear in

(a) Cash column debit side (b) Cash column credit side

(c) Bank column debit side (d) Bank column credit side

6. Which of the following is recorded as contra entry?

(a) Withdrew cash from bank for personal use

(b) Withdrew cash from bank for office use

(c) Direct payment by the customer in the bank account of the business

(d) When bank charges interest

7. If the debit and credit aspects of a transaction are recorded in the cash book, it is

(a) Contra entry (b) Compound entry

(c) Single entry (d) Simple entry

8. The balance in the petty cash book is

(a) An expense (b) A profit

(c) An asset (d) A liability

9. Petty cash may be used to pay

(a) The expenses relating to postage and conveyance

(b) Salary to the Manager

(c) Purchase of furniture and fixtures

(d) Purchase of raw materials

10. Small payments are recorded in a book called

(a) Cash book (b) Purchase book

(c) Bills payable book (d) Petty cash book

Answers

1. (d)	2. (c)	3. (d)	4. (c)	5. (d)	6. (b)	7. (a)	8. (c)	9. (a)	10. (d)

II Very short answer questions

1. What is cash book?

2. What are the different types of cash book?

3. What is simple cash book?